SYNTHETIC TEST DATA - FICTIONAL COMPANY - NOT REAL FINANCIAL INFORMATION

Simulated Steel & Power Ltd

Annual Report 2021-22 (SYNTHETIC)

Chairman's Message

Dear Shareholders, during FY2021-22 your Company recorded revenue from operations of Rs. 13,800 crore, a growth of 20.0% over the previous year.

Going forward, we plan to expand our steel capacity from 3.0 MTPA to 4.5 MTPA by FY25 with a capital expenditure of Rs. 4,500 crore, funded through internal accruals and debt.

We expect to reduce net debt to below Rs. 2,000 crore by FY24 and we aim to achieve an EBITDA margin of 20% over the next three years.

We intend to commission a new 120 MW captive power plant which will lower power and fuel costs. The outlook for domestic steel demand remains positive, although volatility in coking coal prices is a key risk.

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Management Discussion and Analysis

Industry outlook: Domestic steel consumption is expected to grow, supported by infrastructure spending. Risks and concerns include volatility in raw material prices, regulatory changes in environmental norms and foreign exchange fluctuations on imported coal.

Our order book for value-added products stood at Rs. 2,150 crore at year end. The Company will continue its debt reduction programme and has a credit rating of AA (Stable).

The Board has adopted a dividend policy targeting a payout of 20% to 30% of standalone profit after tax.

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Independent Auditor's Report

To the Members of Simulated Steel & Power Ltd. Opinion: We have audited the accompanying consolidated financial statements. In our opinion the financial statements give a true and fair view.

Emphasis of Matter: We draw attention to Note 38 regarding a disputed entry tax demand of Rs. 210 crore which is pending before the High Court. Our opinion is not modified in respect of this matter.

Key Audit Matters: Key audit matters are those matters that, in our professional judgment, were of most significance, including the assessment of capital work-in-progress.

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Simulated Steel & Power Ltd
Consolidated Balance Sheet as at 31st March, 2022

(Rs. in lakhs)

Particulars	Note	As at 31.03.2022	As at 31.03.2021
ASSETS			
Non-current assets			
(a) Property, plant and equipment	3	7,41,000.00	6,82,000.00
(b) Capital work-in-progress	3	56,000.00	36,000.00
(c) Goodwill	4	20,000.00	20,000.00
(d) Other intangible assets	4	15,000.00	15,000.00
(e) Investments	5	30,000.00	30,000.00
(f) Other non-current assets	6	25,000.00	25,000.00
Total non-current assets		**8,87,000.00**	**8,08,000.00**
Current assets			
(a) Inventories	7	1,29,304.00	1,05,863.00
(b) Trade receivables	8	1,66,356.00	1,32,329.00
(c) Cash and cash equivalents	9	38,000.00	52,000.00
(d) Bank balances other than (c) above	10	5,000.00	5,000.00
(e) Other current assets	11	1,75,518.00	1,03,097.00
Total current assets		**5,14,178.00**	**3,98,289.00**
Total Assets		**14,01,178.00**	**12,06,289.00**
EQUITY AND LIABILITIES			
Equity			
(a) Equity share capital	12	10,000.00	10,000.00
(b) Other equity	13	8,10,649.00	7,02,248.00
Total equity		**8,20,649.00**	**7,12,248.00**
Non-current liabilities			
(i) Borrowings	14	3,00,000.00	2,50,000.00
(ii) Lease liabilities	15	8,000.00	8,000.00
(iii) Other non-current liabilities	16	22,000.00	22,000.00
Total non-current liabilities		**3,30,000.00**	**2,80,000.00**
Current liabilities			
(i) Borrowings	17	70,000.00	55,000.00
(ii) Lease liabilities	15	2,000.00	2,000.00
(iii) Trade payables	18	1,18,529.00	97,041.00
(iv) Other current liabilities	19	60,000.00	60,000.00
Total current liabilities		**2,50,529.00**	**2,14,041.00**
Total Equity and Liabilities		**14,01,178.00**	**12,06,289.00**

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Consolidated Statement of Profit and Loss for the year ended 31st March, 2022

(Rs. in lakhs)

Particulars	Note	Year ended 31st March, 2022	Year ended 31st March, 2021
I. Revenue from operations	20	13,80,000.00	11,50,000.00
II. Other income	21	12,000.00	9,000.00
III. Total income (I+II)		**13,92,000.00**	**11,59,000.00**
IV. Expenses			
(a) Cost of materials consumed	22	7,86,600.00	6,44,000.00
(b) Employee benefits expense	23	1,10,400.00	92,000.00
(c) Power and fuel		82,800.00	69,000.00
(d) Finance costs	24	32,000.00	29,000.00
(e) Depreciation and amortisation expense	3	60,000.00	54,000.00
(f) Other expenses	25	1,65,600.00	1,38,000.00
Total expenses (IV)		**12,37,400.00**	**10,26,000.00**
V. Profit before exceptional items and tax (III-IV)		1,54,600.00	1,33,000.00
VI. Exceptional items	26	(5,000.00)	-
VII. Profit before tax (V+VI)		**1,49,600.00**	**1,33,000.00**
VIII. Tax expense:			
(1) Current tax		32,912.00	29,260.00
(2) Deferred tax		4,787.00	4,256.00
Total tax expense		37,699.00	33,516.00
IX. Profit for the year (VII-VIII)		**1,11,901.00**	**99,484.00**
X. Earnings per equity share (Face value Rs. 10 each)			
(1) Basic (Rs.)	27	111.90	99.48
(2) Diluted (Rs.)		111.90	99.48

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Consolidated Statement of Cash Flows for the year ended March 31, 2022

(Rs. in lakhs)

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
A. Cash flow from operating activities		
Profit before tax	1,49,600.00	1,33,000.00
Net cash generated from operating activities	**1,60,708.00**	**1,53,712.00**
B. Cash flow from investing activities		
Purchase of property, plant and equipment	(1,40,000.00)	(90,000.00)
Proceeds from sale of property, plant and equipment	2,000.00	2,000.00
Net cash used in investing activities	**(1,26,000.00)**	**(79,000.00)**
C. Cash flow from financing activities		
Proceeds from long-term borrowings	90,000.00	40,000.00
Repayment of long-term borrowings	(40,000.00)	(40,000.00)
Dividends paid	(3,500.00)	(3,000.00)
Interest paid	(32,000.00)	(29,000.00)
Net cash (used in)/generated from financing activities	**(48,708.00)**	**(62,712.00)**
Net increase/(decrease) in cash and cash equivalents	(14,000.00)	12,000.00
Cash and cash equivalents at the beginning of the year	52,000.00	40,000.00
Cash and cash equivalents at the end of the year	38,000.00	52,000.00